

BobsFunds Dividend Appreciation

Annual Report — Year
Ended December 31,
2025
BFDGA

Letter to Shareholders

Dear Shareholder,

We are pleased to present the Annual Report for the BobsFunds Dividend Appreciation for the fiscal year ended December 31, 2025. The Fund continued to fulfill its mandate of providing broad, low-cost exposure to the dividend growth segment of the market, while maintaining its characteristic low expense ratio of 0.05%.

Markets in 2025 were characterized by resilient corporate earnings, moderating inflation, and gradual monetary policy easing by major central banks. Against this backdrop, the Fund delivered results consistent with its benchmark, net of its minimal fees.

We remain committed to our indexing philosophy: low costs, broad diversification, and disciplined portfolio management. We thank you for your continued trust.

Sincerely,
The Portfolio Management Team
Bob's Mutual Funds, Inc.

Performance Review

For the year ended December 31, 2025, the BobsFunds Dividend Appreciation delivered performance in line with its benchmark, the S&P; U.S. Dividend Growers Index. The Fund's tracking error remained within acceptable parameters, and the expense ratio was maintained at 0.05%, consistent with the prior year.

Equity markets continued to benefit from strong corporate earnings and improving economic conditions. The Federal Reserve's gradual easing cycle provided a supportive backdrop for risk assets. Volatility, while present in certain periods, remained manageable relative to long-term averages.

Portfolio Highlights

The Fund held approximately 340 securities as of December 31, 2025, providing diversified exposure across the dividend growth universe. Portfolio turnover remained low, consistent with the Fund's passive management approach.

The Fund distributed income to shareholders on a quarterly basis throughout the year, returning capital efficiently while maintaining portfolio integrity.

Financial Statements (Summary)

	2025	2024
--	------	------

Net Assets (end of period)	\$—	\$—
NAV per Share (end of period)	\$—	\$—
Total Return (before taxes)	—%	—%
Total Return (after taxes on distributions)	—%	—%
Expense Ratio	0.05%	0.05%
Portfolio Turnover Rate	—%	—%

Management's Discussion

The Fund's investment results for 2025 reflected the performance of securities in the underlying index. The S&P; U.S. Dividend Growers Index advanced during the fiscal year, driven by broad-based strength across constituent sectors.

The Fund maintained its commitment to full investment in index securities, with minimal cash drag. Securities lending revenue partially offset fund expenses, benefiting shareholders. The Fund's annualized tracking difference for 2025 was within the expected range given the 0.05% expense ratio.

Notes to Financial Statements

The BobsFunds Dividend Appreciation is a series of Bob's Mutual Funds, Inc., a registered open-end management investment company organized as a Delaware statutory trust. The Fund commenced operations in January 2010.

The Fund's fiscal year ends December 31. The financial highlights in this report have been prepared in accordance with U.S. generally accepted accounting principles (GAAP). The Fund's independent registered public accounting firm is [Auditor Name], LLP.

Before investing, carefully consider the fund's investment objectives, risks, charges, and expenses. This document contains important information about the fund and should be read carefully before investing. Prospectuses and other fund documents are available through Bob's Mutual Funds, Inc. All investing is subject to risk, including possible loss of principal. Past performance is no guarantee of future results. Bob's Mutual Funds, Inc. is a registered investment company. © 2026 Bob's Mutual Funds, Inc. All rights reserved.